

THE POWERS OF TRUSTEES.

THE powers of trustees are either *General* or *Special*; the former, such as by construction of law are incident to the office of trustee *virtute officii*; the latter, such as are conferred *vi terminorum*, i.e., by the settlor himself by an express proviso in the instrument creating the trust.

SECTION I.

OF THE GENERAL POWERS OF TRUSTEES.¹

1. Powers of trustees at law distinguished from their powers in equity. — In a Court of *law* the trustee, as the absolute proprietor, may of course exercise all such powers as the legal ownership confers; but in *equity* the *cestui que trust* is the absolute owner, and the question we have to consider in this place is, how far the trustee may deal with the estate

¹ *General powers of trustees.* — Powers must be executed, according to the settlor's intention as indicated by the declaration of trust; *Kerr v. Verner*, 66 Pa. St. 326; *Guion v. Pickett*, 42 Miss. 77. At law the trustee has largely the powers of an absolute owner; *Slevin v. Brown*, 32 Mo. 176; *Harrison v. Rowan*, 4 Wash. C. C. 202; but in equity the *cestui que trust* is regarded as the owner, and the trustee must perform certain duties for him, neither omitting from nor adding thereto, and if particular directions are given they must be exactly carried out, without any discretion; *Wormley v. Wormley*, 8 Wheat. 421; *Beatty v. Clark*, 20 Cal. 11. Trustees may receive instructions and directions from the court, if there is any doubt about the course they should pursue; *Petition of Baptist Church*, 51 N. H. 424; *Woodruff v. Cook*, 47 Barb. 304; *Loring v. Steineman*, 1 Met. 207; *Crosby v. Mason*, 32 Conn. 482; *Tillinghast v. Coggeshall*, 7 R. I. 383.

A trustee may make repairs, but he must indulge in no unnecessary expense; *Sohier v. Eldredge*, 103 Mass. 345; *Herbert v. Herbert*, 57 How. Pr. 333; *Williams v. Smith*, 10 R. I. 280; trust estate may become subject to a mechanic's lien; *Cheatham v. Rowland*, 92 N. C. 340.

Power to mortgage. — Mortgage should not be executed in individual capacity; *Gilbert v. Gilbert*, 39 Ia. 657; trustee may not mortgage to secure his own debt; *Merriman v. Russell*, 39 Tex. 278; may mortgage unless forbidden by the trust instrument; *Dibrell v. Carlisle*, 51 Miss. 785; *Miller v. Redwine*,